

Commonwealth of Pennsylvania Health Insurance Reference

Public Education Module: Navigating Pennie®, Subsidies, and State Coverage

1. Overview of Coverage Pathways in Pennsylvania

Pennsylvania residents obtain health coverage through four primary channels depending on income, employment status, age, and health conditions:

1. **Pennie® (Pennsylvania Health Insurance Exchange):** The official state-based marketplace created under Act 42 of 2019. It serves individuals and families who do not have affordable coverage through an employer, Medicare, or Medicaid.
2. **Medical Assistance (MA / Pennsylvania Medicaid):** Income-based coverage administered by the PA Department of Human Services (DHS) for low-income adults, children, pregnant women, seniors, and individuals with disabilities.
3. **CHIP (Children's Health Insurance Program):** Provides comprehensive health coverage to uninsured PA children up to age 19 in families whose income exceeds Medicaid eligibility limits.
4. **Medicare:** Federal insurance program for individuals aged 65 and older or individuals under 65 with certain qualifying disabilities or End-Stage Renal Disease (ESRD).

Key Structural Rule: Financial assistance in the form of Advance Premium Tax Credits (APTC) and Cost-Sharing Reductions (CSR) is **exclusively available** through Pennie. Purchasing an identical ACA-compliant plan off-exchange directly from an insurer forfeits all federal subsidies.

2. Pennie Marketplace: Eligibility, Schedule & Federal Rules

2.1 Basic Eligibility Criteria

To purchase health insurance through Pennie, an applicant must:

- Reside in Pennsylvania.
- Be a U.S. citizen, U.S. national, or lawfully present immigrant.
- Not be incarcerated (other than pending disposition of charges).

- Not be enrolled in Medicare Part A (premium-free).

2.2 2027 Enrollment Schedule & Regulatory Changes

- **Annual Open Enrollment Period (OEP) for PY2027: October 15, 2026 through December 15, 2026** (PHIEA 2026e).
 - **December 15, 2026** serves as the single final deadline for coverage effective **January 1, 2027**.
 - *Regulatory Adjustment:* In accordance with CMS marketplace rule updates, the open enrollment window is standardized to 9 weeks across state and federal exchanges.
- **Special Enrollment Period (SEP):** Outside the annual OEP, individuals must experience a Qualifying Life Event (QLE) to enroll within a 60-day window.
- **Low-Income SEP Status:** The continuous year-round Special Enrollment Period for consumers at or below 150% FPL is paused through Plan Year 2026 per CMS Marketplace Integrity rules, returning as an exchange-administered option for PY2027.

Common Qualifying Life Events for Pennie Special Enrollment

QLE Category	Specific Triggering Events
Loss of Coverage	Loss of job-based insurance, expiration of COBRA, loss of Medicaid/CHIP eligibility, aging off a parent's plan at 26.
Family Changes	Marriage, divorce/legal separation, birth, adoption, or placement for adoption/foster care.
Relocation	Permanent move to Pennsylvania or move to a new PA rating area with different plan availability.
Income/Status Changes	Change in income affecting subsidy status, change in citizenship/legal presence, release from incarceration.

3. Financial Subsidies and Legislative Framework

Financial assistance on Pennie is based on modified adjusted gross income (MAGI) relative to the Federal Poverty Level (FPL).

1. **Advance Premium Tax Credits (APTC):** Lowers monthly premium payments on a sliding

scale based on MAGI compared to the second-lowest-cost Silver plan (Benchmark Plan) in the enrollees' geographic rating area.

2. **Cost-Sharing Reductions (CSR):** Lowers out-of-pocket costs (deductibles, copays, coinsurance). **CSR is active only when selecting a plan in the Silver metal tier.**

Pennsylvania Program Eligibility Thresholds (% FPL)

Program / Subsidy Tier	Income Limit (% FPL)
Medical Assistance (Medicaid) for Adults	Up to 138% FPL
Children's Health Insurance Program (CHIP)	Free CHIP up to 208% FPL; Low-Cost CHIP above 208% FPL
Cost-Sharing Reductions (CSR Silver Tier)	138% to 250% FPL
Advance Premium Tax Credit (APTC Base)	138% to 400% FPL (subject to federal statutory adjustments)

State Affordability Program Disclosure (Act 54 of 2024): Act 54 established a state-level premium assistance framework to supplement federal APTC. *Note: As of mid-2026, state funding appropriations remain pending (\$50M request). Consumers should check pennie.com to verify whether state-funded enhancements are active for the current plan year.*

4. Plan Tiers and Network Structures

4.1 Metal Categories

Metal tiers define actuarial value (how costs are split between carrier and enrollee):

- **Bronze (60% AV):** Lowest monthly premiums, highest point-of-service deductibles.
- **Silver (70% AV):** Moderate premiums/deductibles. *Eligible for CSR enhancement up to 94% AV for households under 200% FPL.*
- **Gold (80% AV):** Higher monthly premiums, lower deductibles and copayments.
- **Platinum (90% AV):** Highest monthly premiums, minimal out-of-pocket costs.

4.2 Network Types

- **Health Maintenance Organization (HMO):** Requires primary care physician (PCP) selection and referrals; covers in-network care only (except emergencies).
- **Exclusive Provider Organization (EPO):** In-network coverage only; no PCP referral required for specialist care.
- **Preferred Provider Organization (PPO):** Covers both in-network and out-of-network care at varying cost-sharing levels; no PCP referrals required.

5. Application and Reconciliation Procedure

1. **Prepare Verification Documents:** Gather SSNs/immigration details, pay stubs or W-2s to estimate MAGI, and employer health coverage status documentation.
2. **Submit Application via Official Channels:**
 - Online Portal: pennie.com
 - Telephone: Pennie Customer Service (1-844-844-8040)
 - In-Person: Certified Pennie Assistors or licensed PA insurance brokers.
3. **Tax Year Reconciliation:** All enrollees receiving APTC must file IRS Form 8962 using Form 1095-A (issued by Pennie each January). Discrepancies between estimated and actual yearly MAGI will be reconciled on federal tax filings.